

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

**Interconnection of Large Loads to the)
Interstate Transmission System)**

Docket No. RM26-4-000

**COMMENTS OF THE NORTH AMERICAN ELECTRIC RELIABILITY
CORPORATION IN RESPONSE TO NOTICE INVITING COMMENTS**

The North American Electric Reliability Corporation (“NERC”) submits comments on the Federal Energy Regulatory Commission (“FERC” or “Commission”) Notice Inviting Comments¹ regarding the proposed Advance Notice of Proposed Rulemaking (“ANOPR”), *Ensuring the Timely and Orderly Interconnection of Large Loads*.² Issued pursuant to the Department of Energy (“DOE”) Secretary’s authority under section 403 of the DOE Organization Act³ for Commission consideration and final action, the proposed ANOPR directs the Commission to initiate rulemaking procedures on potential reforms to enable the interconnection of large loads to the transmission system.

As described in these comments, NERC supports the Commission’s consideration of how best to ensure the Bulk Power System (“BPS”) meets the needs of growing demand from large loads. In addition, NERC appreciates the Secretary’s recognition of NERC’s role in reliably advancing the integration of these large loads. NERC’s mission to assure the effective and efficient reduction of risks to the reliability and security of the BPS aligns with the Secretary’s objective to support quick and reliable interconnection of the growing large load population. Through the lens of risk mitigation, NERC Reliability Standards are an important part of ensuring that the BPS is

¹ *Interconnection of Large Loads to the Interstate Transmission System, Notice Inviting Comments*, Docket No. RM26-4-000 (Oct. 27, 2025).

² *Ensuring the Timely and Orderly Interconnection of Large Loads, Advance Notice of Proposed Rulemaking*, Docket No. RM26-4-000 (Oct. 27, 2025) [hereinafter ANOPR].

³ 42 U.S.C. § 7173(a).

ready to meet the needs of a North American economy that is heavily reliant on the electric grid. Accordingly, NERC requests that any ensuing Commission action accurately reflects the scope of NERC's reliability authority, which statutorily extends to Reliability Standards that provide for the reliable operation of the BPS and is distinguished from the Commission's jurisdiction regarding the transmission and sale of electric energy.⁴ While NERC is commenting on its own authority under section 215 of the Federal Power Act, NERC declines to comment on matters outside its purview, such as the proposed ANOPR assertions regarding the Commission's jurisdiction under other provisions of the Federal Power Act, including section 205. Finally, NERC outlines its activities already underway under the NERC Large Loads Action Plan to address the urgent need to properly manage the risks associated with growing demand from large load users of the BPS while also enabling them to interconnect quickly and participate in NERC stakeholder activities.

These comments are organized as follows: Section I describes how NERC's background and mission can help support the Secretary's goal of interconnecting large loads quickly and reliably; and Section II describes NERC's authority and the high priority work that NERC is currently undertaking to help support the reliable integration of large loads. NERC respectfully requests the Commission consider these comments in determining any final action in response to the proposed ANOPR.

I. BACKGROUND ON NERC

As the Commission-certified Electric Reliability Organization ("ERO"), NERC's mission is to assure the effective and efficient reduction of risks to the reliability and security of the grid.

⁴ The Federal Power Act states that the jurisdiction of the Commission for the purpose of certain sections of the act, including section 215 regarding reliability, is provided in the specific provisions of those sections. *See* 16 U.S.C. § 824(b)(1) and (2).

When Congress enacted the Energy Policy Act of 2005⁵ and section 215 of the Federal Power Act (“section 215”),⁶ it entrusted the Commission with: (i) approving and enforcing rules to ensure the reliability of the BPS;⁷ and (ii) certifying an ERO that would be charged with developing and enforcing mandatory Reliability Standards, subject to Commission approval, and assessing reliability and adequacy of the BPS in North America.⁸ In 2006, the Commission certified NERC as the ERO pursuant to section 215.⁹

To effectively and efficiently reduce risks to reliability, NERC develops and enforces Reliability Standards to ensure an adequate level of reliability of the BPS. NERC executes its mission through delegation of certain activities to six Regional Entities.¹⁰ Reliability Standard obligations apply to entities registered with NERC pursuant to the registration process and registry criteria included in the NERC Rules of Procedure.¹¹ NERC and the Regional Entities have the obligation to identify and register all entities that meet the criteria for inclusion in the NERC

⁵ Energy Policy Act of 2005, Pub. L. 109–58, §1211(b), 119 Stat. 941-46 (2005).

⁶ 16 U.S.C. § 824o [hereafter section 215].

⁷ The NERC Rules of Procedure Appendix 2 state the “Bulk Power System” means, depending on the context:

- (i) (A) facilities and control systems necessary for operating an interconnected electric energy transmission network (or any portion thereof); and (B) electric energy from generation facilities needed to maintain transmission system reliability. The term does not include facilities used in the local distribution of electric energy [++]. (Note that the terms “Bulk-Power System” or “Bulk Power System” shall have the same meaning.)
- (ii) Solely for purposes of Appendix 4E, Bulk Electric System.

Part (i) of this definition is taken from Section 215 of the Federal Power Act, 16 U.S.C. § 824o(a)(1). The NERC Rules of Procedure are available at <https://www.nerc.com/who-we-are/rules-of-procedure>.

⁸ Section 215(a)(2). *See also* Section 215(c) (providing the ERO certification criteria). *See also* Energy Policy Act of 2005, Pub. L. 109–58, §1211(b), 119 Stat. 941, 946 (2005), (clarifying, “[t]he Electric Reliability Organization... and any regional entity delegated enforcement authority... are not departments, agencies, or instrumentalities of the United States Government.”).

⁹ *Order Certifying North American Electric Reliability Corporation as the Electric Reliability Organization and Ordering Compliance Filing*, 116 FERC ¶ 61,062 (2006).

¹⁰ The six Regional Entities include the following: Midwest Reliability Organization, Northeast Power Coordinating Council, Inc., ReliabilityFirst Corporation, SERC Reliability Corporation, Texas Reliability Entity, Inc., and Western Electricity Coordinating Council

¹¹ *See* NERC Rules of Procedure at Section 500 and Appendices 5A and 5B.

Compliance Registry (“NCR”).¹² Once registered, such entities are subject to Commission-approved Reliability Standards.

NERC Reliability Standards operate in partnership with the Commission’s interconnection procedures and agreements. NERC’s suite of Reliability Standards includes requirements intended to address potential risks associated with interconnecting resources. For example, Reliability Standard FAC-001-4¹³ requires responsible entities to document and make facility interconnection requirements available so that interconnecting entities provide the necessary information to ensure their reliable interconnection. In addition, Reliability Standard FAC-002-4 requires responsible entities to study the impact of interconnecting new or changed facilities on their portion of the system.¹⁴ These Reliability Standards requirements supplement the interconnection requirements and help to ensure that entities appropriately account for the impact of interconnecting facilities to the BPS.

Similarly, the Commission’s interconnection procedures and agreements are complementary to the NERC Reliability Standards. The Commission interconnection procedures and agreements provide uniformity for both transmission providers and interconnection customers. These procedures also help prevent undue discrimination and preserve reliability.¹⁵ Moreover, the Commission’s procedures have the advantage that they may apply to interconnecting entities prior to operation. Thus, such obligations may apply prior to an entity’s registration on the NCR. As a

¹² The NCR identifies the owners, operators, and users of the BPS that are responsible for complying with approved reliability standards applicable to the functions for which each entity is registered.

¹³ Available <https://www.nerc.com/standards/reliability-standards/fac/fac-001-4>.

¹⁴ Available <https://www.nerc.com/standards/reliability-standards/fac/fac-002-4>.

¹⁵ See Order Nos. 2003 and 2006 (regarding large and small generators, respectively). *Standardization of Generator Interconnection Agreements and Procedures*, Order No. 2003, 104 FERC 61,103 (2003); *Standardization of Small Generator Interconnection Agreements and Procedures*, Order No. 2006, 111 FERC 61,220 (2005).

result, the Commission’s interconnection procedures and agreements provide an important first line of defense to protect against potential risks to the BPS as new resources interconnect.

II. COMMENTS

NERC submits the following comments on the proposed ANOPR for the Commission’s consideration. Section A expresses NERC’s support for the Commission addressing the rapid growth of large loads and NERC’s appreciation for the Secretary’s acknowledgment that NERC Reliability Standards requirements play an important role in ensuring the BPS can meet the needs of large loads. Section B requests that any Commission action resulting from the proposed ANOPR reflects NERC’s authority as the ERO under the Federal Power Act section 215. Finally, Section C describes NERC activity under the Large Loads Action Plan to address the impacts of large loads on the BPS and describes stakeholder involvement.

A. NERC supports the Commission addressing the rapid growth of large loads and appreciates the Secretary’s recognition of NERC’s role in ensuring the Bulk Power System can reliably advance the United States’ economy and innovation.

NERC welcomes the opportunity to timely address a unique and growing population of users of the BPS. As cited by the ANOPR, the NERC 2024 Long-Term Reliability Assessment (“NERC 2024 LTRA”) identified that demand growth is higher than at any point in the last two decades.¹⁶ The NERC 2024 LTRA also notes that “[d]emand and energy growth projections in this assessment period provide both challenges and opportunities for electric grid reliability.”¹⁷ Such unique challenges include demand forecasting and planning for system behavior when some large loads, such as data centers for cryptocurrency mining and artificial intelligence, are substantially

¹⁶ ANOPR at P 1 (citing NERC, *2024 Long- Term Reliability Assessment* (Dec. 2024, updated July 2025), https://www.nerc.com/pa/RAPA/ra/Reliability%20Assessments%20DL/NERC_Long%20Term%20Reliability%20Assessment_2024.pdf at 8). NERC develops the LTRA annually in accordance with the NERC Rules of Procedure and Title 18, § 39.112 of the Code of Federal Regulations; this is also required by Section 215(g) of the Federal Power Act, which instructs NERC to conduct periodic assessments of the North American BPS.

¹⁷ NERC 2024 LTRA at 33.

larger and constructed more quickly than prior large loads using the BPS.¹⁸ NERC recognizes that this environment creates a need for quick and decisive action to address any potential impacts to reliability to support the exponential growth in an economy dependent upon reliable electricity. In addressing these risks, NERC enables loads to connect confidently and reliably to the transmission system, consistent with the Secretary's objectives. Accordingly, based on NERC's assessment of reliability implications of large loads in the NERC 2024 LTRA, NERC initiated further study and collaboration with stakeholders to help ensure a reliable transmission system for all, as further described in Section II.C of these comments.

In addition to supporting the Commission's addressing the rapid growth of large loads, NERC appreciates the Secretary's acknowledgment of NERC's role in reliably advancing the electric grid to meet the needs of the United States' economy.¹⁹ Among the Secretary's proposed principles is a proposal that "utilities serving large loads must meet all applicable NERC reliability standards...."²⁰ In addition, the proposed ANOPR states, "NERC should review its reliability standards to determine if new registration categories or new or modified reliability standards are required to ensure reliability of the [Bulk Electric System ("BES")]."²¹ The proposed principles demonstrate the Secretary's recognition that NERC's mandatory Reliability Standards play an important role in helping to ensure the electric grid can reliably meet the needs of interconnecting large load and other BPS users.

¹⁸ *Id.* at 8.

¹⁹ Letter from the Secretary of Energy to FERC, *Re: Secretary of Energy's Direction that the Federal Energy Regulatory Commission Initiate Rulemaking Procedures and Proposal Regarding the Interconnection of Large Loads Pursuant to the Secretary's Authority Under Section 403 of the Department of Energy Organization Act* (Oct. 23, 2025), <https://www.energy.gov/sites/default/files/2025-10/403%20Large%20Loads%20Letter.pdf> (noting that the Administration is committed to revitalizing domestic manufacturing and driving American AI innovation, which requires large quantities of electricity and investment in the Nation's interstate transmission system).

²⁰ ANOPR at P 31.

²¹ *Id.* The Bulk Electric System is a subset of the broader Bulk Power System.

NERC works to ensure that Reliability Standards, and entities required to comply with them, are limited to those that are material to the reliability of the BPS. NERC develops its suite of standards through a consensus-driven standards development process that is open to all those interested in reliability.²² Through that process, NERC engages with stakeholders, including those who must comply with Reliability Standards, to determine mandatory requirements that can be tailored and implemented effectively to mitigate specific reliability risks. Should NERC's assessments, collaborative efforts with stakeholders, or standards development process indicate that mandatory requirements are not the appropriate mechanism to mitigate a particular risk, NERC has other tools to effectively address reliability risks. Such tools may include, for example, technical reference documents, Reliability Guidelines, and Alerts.²³ NERC's measured approach efficiently and effectively mitigates risks to reliability and contributes to NERC's successful collaboration with industry stakeholders, governmental authorities, and the public.

B. In determining any Commission action resulting from the proposed ANOPR, the Commission should reference the full scope of NERC's authority as the ERO under Federal Power Act section 215 to ensure the reliable operation of the BPS.

While NERC Reliability Standards focus on a curated set of actors and actions that mitigate risk, NERC's authority as the ERO under the Federal Power Act section 215²⁴ could extend more broadly than its current exercise of that reliability jurisdiction. NERC appreciates that the proposed

²² NERC's Reliability Standards development process is including in its Rules of Procedure, Appendix 3A (Standard Processes Manual), available at https://www.nerc.com/globalassets/who-we-are/rules-of-procedure/appendix_3a_spm_clean_mar2019.pdf. While NERC is currently developing recommendations for further streamlining of its standard development process, the current recommendations still emphasize consensus-building at key points in the process. The proposed recommendations are available at <https://www.nerc.com/globalassets/initiatives/modernization-of-standards-processes-and-procedures-task-force-mspp/draft-recommendations---october-2025.pdf>.

²³ As an example, NERC issued an Alert regarding an industry recommendation to address the risks observed from the analyzed large load behavior and to assess the status of industry preparedness in relation to large loads. The Alert is available at <https://www.nerc.com/globalassets/programs/bpsa/alerts/2025/nerc-alert-level-2--large-loads.pdf>.

²⁴ Section 215.

ANOPR recognizes that NERC’s reliability authority statutorily applies to the Bulk Power System.²⁵ However, there is opportunity to further clarify NERC’s authority as the ERO under section 215, because one of the proposed ANOPR principles suggest that NERC’s registration categories and Reliability Standards are to ensure the “reliability of the BES.”²⁶ As such, NERC requests out of an abundance of caution that any subsequent Commission action in this proceeding reflects the full scope of NERC’s reliability authority as pertaining to the BPS. Within that scope, NERC seeks to exercise its authority to address risks to the reliability of the BPS, and in addressing those risks, NERC can help facilitate loads interconnecting reliably. As NERC’s reliability authority under section 215 is distinct from Commission jurisdiction on the sale and transmission of electric energy under Federal Power Act section 201(b)(1), NERC declines to comment on other jurisdictional principles raised in the proposed ANOPR.²⁷ Nevertheless, while NERC is focused on how to support the integration of large load with the BPS consistent with the scope of its section 215 authority, NERC looks forward to continued coordination between State and Federal entities in this area.

Under section 215, the Federal Power Act provides the Commission, via the ERO, authority to regulate “users, owners, and operators of the Bulk Power System (BPS).”²⁸ This statutory authority to regulate includes: (1) developing and enforcing mandatory Reliability

²⁵ ANOPR at P 1 n.2.

²⁶ *Id.* at P 31.

²⁷ *Supra* note 4.

²⁸ Section 215(b).

Standards²⁹ that provide for reliable operation³⁰ of the BPS, subject to approval by FERC; and (2) assessing BPS reliability and adequacy.³¹ Consistent with federal jurisdiction over interstate commerce and other sections of the Federal Power Act, Congressional authority under section 215 pertains only to the BPS and “users, owners, and operators” of the BPS. As such, under section 215, NERC cannot: (1) develop and enforce Reliability Standards for reliable operation of facilities used in the local distribution of electric energy, or (2) order the construction of additional generation or transmission capacity or set and enforce compliance with standards for adequacy or safety of electric facilities or services.³² While the Federal Power Act defines the parameters of the BPS, it does not define the terms “users”, “owners”, or “operators” of the BPS.

FERC’s regulations echo Federal Power Act section 215 by requiring that “each user, owner and operator of the [BPS] within the United States...shall register with the [ERO] and the Regional Entity for each region within which it uses, owns, or operates [BPS] facilities, in such manner as prescribed by the Rules of the [ERO] and each applicable Regional Entity.”³³ As with the Federal Power Act, FERC’s regulations do not further define the terms “users”, “owners”, or “operators” of the BPS, leaving it to NERC and the Regional Entities to identify those entities through their rules, such as the NERC registry criteria.³⁴

²⁹ Section 215 defines “Reliability Standard” as “a requirement, approved by the Commission under this section, to provide for reliable operation of the bulk-power system. The term includes requirements for the operation of existing bulk-power system facilities, including cybersecurity protection, and the design of planned additions or modifications to such facilities to the extent necessary to provide for reliable operation of the bulk-power system, but the term does not include any requirement to enlarge such facilities or to construct new transmission capacity or generation capacity.” See 16 U.S.C. 824o(a)(3).

³⁰ Section 215 defines “reliable operation” as “operating the elements of the bulk-power system within equipment and electric system thermal, voltage, and stability limits so that instability, uncontrolled separation, or cascading failures of such system will not occur as a result of a sudden disturbance, including a cybersecurity incident, or unanticipated failure of system elements.” See 16 U.S.C. 824o(a)(4).

³¹ Section 215.

³² Section 215 (a)(1) and (i).

³³ 18 C.F.R. § 39.2(c).

³⁴ NERC’s current registry criteria are listed in Appendix 5B of the NERC Rules of Procedure, available at https://www.nerc.com/globalassets/who-we-are/rules-of-procedure/appendix-5b-eff-20240627_signed.pdf.

Specifically, the NERC registry criteria identify the subset of owners, operators, and users who have a material impact on the BPS and must therefore comply with applicable Reliability Standards. Currently, the registry criteria include entities that use, own, or operate BES Elements³⁵ as well as those entities otherwise defined by the registry criteria as materially impacting BPS reliability. While a majority of criteria pertain to the BES, which is a subset of the BPS, the registry criteria do include some applicable to certain non-BES resources. The registry criteria could be expanded to include additional owners, operators, or users of the BPS to the extent that the entities might materially impact reliability of the BPS.

While owners and operators of the BPS are well-defined through NERC's registry criteria, NERC currently has limited registry criteria applicable to "users" of the BPS. Nevertheless, FERC precedent and legislative history of the Federal Power Act indicate that users of the BPS mean all those who "use" the BPS. For instance, in rejecting NERC's attempts to define "user" of the BPS, FERC stated its concerns that, "[under NERC's proposed definition] a large industrial customer that receives electric energy directly from the [BPS] may not be defined as a user of the BPS, even though it may directly affect the reliability of the [BPS]."³⁶ As such, FERC contemplated that a user of the BPS could be a large industrial customer receiving electric energy directly from the BPS.³⁷ Similarly, when the Commission reviewed the initial suite of NERC Reliability Standards, it further declined to define user of the BPS, stating:

While we recognize the desire of some commenters for a concise, generic definition of "user of the Bulk-Power System," we are concerned that any

³⁵ The BES is defined in NERC Rules of Procedure Appendix 2, https://www.nerc.com/globalassets/who-we-are/rules-of-procedure/appendix-2-eff-20240627_signed.pdf, and in the *Glossary of Terms Used in NERC Reliability Standards*, https://www.nerc.com/globalassets/standards/reliability-standards/glossary_of_terms.pdf [hereinafter Glossary].

³⁶ *Rules Concerning Certification of the Electric Reliability Organization; and Procedures for the Establishment, Approval, and Enforcement of Electric Reliability Standards*, Order No. 672, 114 FERC 61,104 at P 99 (2006) [hereinafter Order No. 672], *order on reh'g*, Order No. 672-A, 114 FERC 61,328 (2006).

³⁷ *Id.* at PP 98-99.

attempt to define the term at this time will either be overly broad so as not to provide any helpful guidance or overly narrow so as to exclude entities that should be covered. The Commission believes that it has employed a reasonable approach by endorsing NERC's compliance registry process and requiring that each Reliability Standard identify the subset of users, owners and operators to whom that particular Reliability Standard applies.³⁸

Accordingly, while there is no definition of “user” of the BPS or current registry criteria for users, the Commission has previously considered what it means to be a “user” of the BPS.

Legislative history of the Federal Power Act provides further insight into the intent of “user” of the BPS. During debate on the amendment that incorporated user of the BPS into the Federal Power Act, the author of the amendment, Senator Thomas, explained that “[t]he new reliability organization will have enforcement powers, with real teeth to ensure reliability. The amendment provides that mandatory reliability rules will apply to all users of the transmission grid. There are no loopholes. No one will be exempt.”³⁹ Senator Bingaman, who while opposing the Thomas Amendment was a proponent of a mandatory system of reliability rules, recognized that “[t]he reliability system needs to apply to all users. The rules need to be enforceable. There need to be penalties if you do not comply with the rules.”⁴⁰

While NERC’s reliability authority extends to all users, owners, and operators of the BPS, NERC’s registry criteria and Reliability Standards identify the appropriate users, owners, and operators based on an exercise of reasonable judgment as to their potential material impact to the

³⁸ *Mandatory Reliability Standards for the Bulk-Power System*, Order No. 693, 118 FERC ¶ 61,218 at P 116, (2007) [hereinafter Order No. 693], *order on reh’g*, Order No. 693-A, 120 FERC 61,053 (2007).

³⁹ 148 Cong. S1874 (daily ed. Mar. 14, 2002) (statement of Sen. Thomas).

⁴⁰ *Id.* (statement of Sen. Bingaman). NERC originally highlighted this legislative history in a notice of penalty proceeding. See NERC, *Notice of Penalty regarding U.S. Army Corps of Engineers – Tulsa District*, Docket No. NP09-26-000 at 6 (June 24, 2009). In issuing a determination on NERC’s jurisdiction under section 215 in that penalty proceeding, the Commission concluded that Congress intended section 215 to be comprehensive and was added to prevent cascading blackouts, as demonstrated by the provisions of the Federal Power Act and its legislative history. See *Order Addressing Applicability of Section 215 of the Federal Power Act to Federal Entities*, 129 FERC ¶ 61,033 (2009), *reh’g denied*, *order rejecting reh’g request*, 130 FERC ¶ 61,002 (2010).

BPS. NERC applies risk-based engineering judgment to assess the impact of a particular user, owner, or operator on the BPS and whether any action(s) taken by that user, owner, or operator could mitigate risks posed by that impact. This risk-based analysis is used to support any registry criteria in the Rules of Procedure. Not only does NERC reasonably exercise its authority through this assessment, but it also invites stakeholders, including those who could be subject to Reliability Standards, to participate in determining the appropriate action. As more fully described in Section II.C. below, NERC's review of its registry criteria and Reliability Standards provides ample opportunities for participation, consistent with the principles in the proposed ANOPR.

Although NERC has not developed any criteria that would add large load entities to the NCR at this time, NERC requests that any resulting Commission action reflect NERC's scope of statutory authority as the ERO to ensure the reliability of the BPS. While NERC currently relies on the BES as a proxy for whether an asset is used in local distribution or not, NERC's authority to regulate reliability extends to users, owners, and operators, as needed, to ensure the reliability of the BPS.⁴¹ NERC's request of the Commission should not be construed to mean that NERC will develop regulations to the full extent of its statutory authority. Rather, the request reflects that any risk assessment of impacts to the BPS needs to factor in any users, owners, or operators of the BPS and their material impact on the reliability of the BPS. NERC plans to coordinate with stakeholders over the following year to explore potential revisions to the registry criteria and Reliability Standards that would incorporate large loads impacting the reliable operation of the BPS. An example timeline of such potential activities is provided in Section II.C of these comments.

⁴¹ As an example, NERC recently revised its registry criteria to include certain inverter-based resources that are not included in the BES. NERC justified such addition based on the resources' aggregate material impact to the BPS. *See Order Approving Revisions to North American Electric Reliability Corporation Rules of Procedure and Requiring Compliance Filing*, 187 FERC ¶ 61,196 (2024) (approving revisions to the NERC registry criteria to include certain owners and operators of inverter-based resources that are connected to the BPS but that were previously not otherwise required to register with NERC under the BES definition).

C. NERC has already initiated extensive collaboration with industry through the Large Loads Action Plan and continues to invite all stakeholders to participate.

As the Secretary noted in the letter accompanying the proposed ANOPR sent to the Commission, this is an urgent issue that requires prompt attention. NERC agrees and has met such urgency with action – specifically, the Large Loads Action Plan.⁴² As described in this section, the Large Loads Action Plan builds off the work of the NERC Reliability and Security Technical Committee’s (“RSTC”) Large Loads Task Force (“LLTF”), established in August 2024 to assess the impacts of large load on the BPS. Through these efforts, NERC is conducting activities that support a review of its Reliability Standards to determine if new registration categories or revisions to the Reliability Standards are required to ensure reliability of the BPS, consistent with the principles in the proposed ANOPR.

Since March of 2024, NERC and the Regional Entities have been examining how large loads can be reliably integrated with the North American BPS. Over the past year, the LLTF has codified its assessment of reliability risks that large loads may pose to the BPS through development of white papers. The LLTF white paper “*Characteristics and Risks of Emerging Large Loads*” (“White paper 1”), for example, characterizes large loads and defines the reliability risks that they may pose to the BPS.⁴³ One such risk includes the potential for large amounts of voltage-sensitive load loss, which NERC evaluated after a 2024 disturbance.⁴⁴

Based on NERC assessments and the work of the LLTF, addressing large loads has become a priority for NERC’s leadership. NERC’s Member Representatives Committee provided written

⁴² The NERC Large Loads Action Plan and related information is available at <https://www.nerc.com/initiatives/large-loads-action-plan>.

⁴³ NERC, *Characteristics and Risks of Emerging Large Loads: Large Loads Task Force White Paper* (July 2025), <https://www.nerc.com/globalassets/who-we-are/standing-committees/rstc/whitepaper-characteristics-and-risks-of-emerging-large-loads.pdf>.

⁴⁴ NERC, *Incident Review: Considering Simultaneous Voltage-Sensitive Load Reductions* (Jan. 2025), https://www.nerc.com/globalassets/our-work/reports/event-reports/incident_review_large_load_loss.pdf.

input and hosted a technical panel session on large loads at the February 2025 NERC Board of Trustees (“Board”) meeting. In addition, the Board issued a resolution in February 2025 directing NERC to develop an action plan, which complements the work of the LLTF and provides additional structure to NERC’s efforts related to large loads integration. Under the Large Loads Action Plan, NERC has conducted several workshops with industry and large load users of the BPS, prepared technical reference material, and shared guidance on how to mitigate potential risks to reliability. Moreover, the Large Loads Action Plan includes an action item on registration analysis, which analyzes the legal basis for registration of large users of the BPS and whether there are Reliability Standards requirements that could apply to such users. In addition, the Large Loads Action Plan includes analysis on whether any revisions to the Reliability Standards for existing entities on the NCR could mitigate impacts to BPS reliability.

In the first quarter of 2026, NERC will develop additional findings, guidance, and next steps to account for the BPS reliability needs associated with large loads. First, on January 28, 2026, responsible entities are expected to respond to the Level 2 Alert *Industry Recommendation Large Load Interconnection, Study, Commissioning, and Operations* (“Level 2 Alert”).⁴⁵ The purpose of the Level 2 Alert is to address the risks observed from analyzed large load behavior and to assess the status of industry preparedness in relation to large loads. By February 27, 2026, NERC will submit a report to the Commission regarding responses to the Level 2 Alert. NERC will post a public version of the report thereafter. NERC is also collecting comments on a draft *LLTF Reliability Guideline: Risk Mitigation for Emerging Large Loads* (“LLTF Reliability

⁴⁵ NERC, *Industry Recommendation: Large Load Interconnection, Study, Commissioning, and Operations* (Sep. 9, 2025), <https://www.nerc.com/globalassets/programs/bpsa/alerts/2025/nerc-alert-level-2--large-loads.pdf>.

Guideline”).⁴⁶ In addition, by the first quarter of 2026, the LLTF plans to finalize a whitepaper on the existing practices, requirements, and Reliability Standards for emerging loads (“White paper 2”).

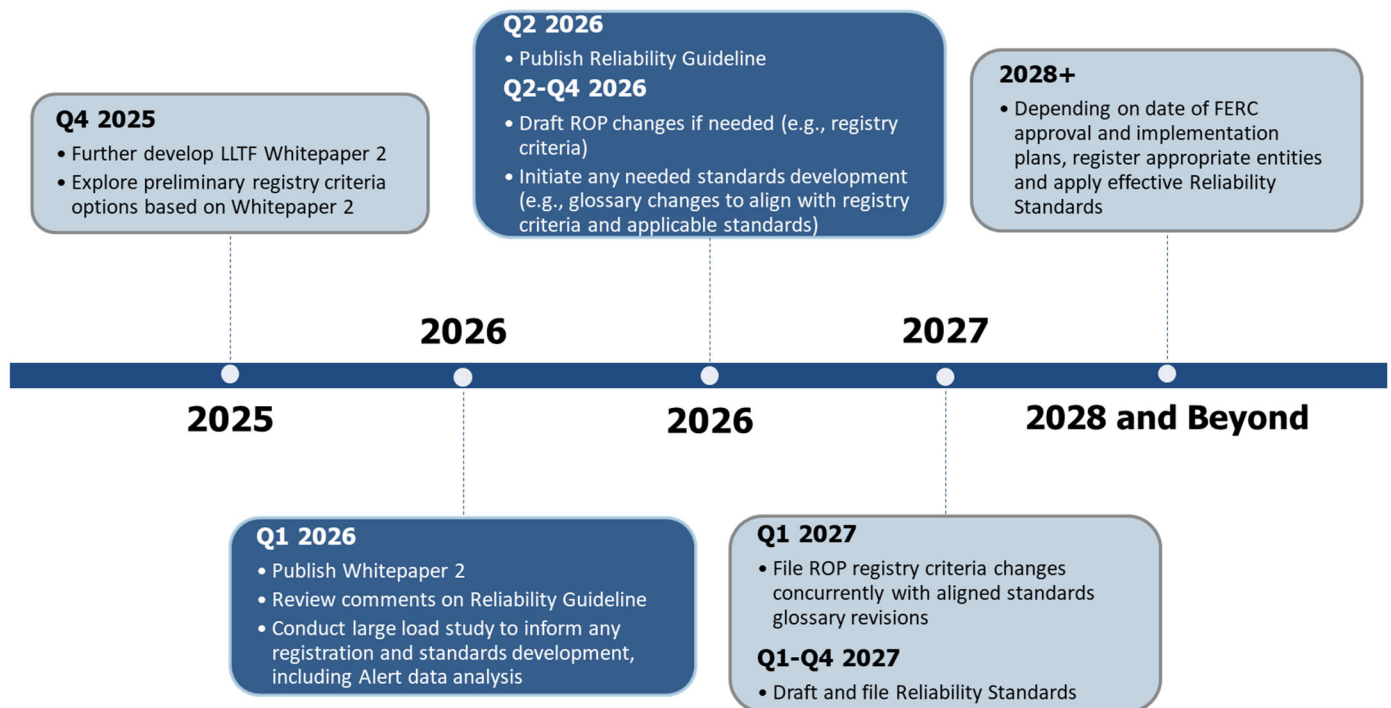
Through these upcoming work products, NERC aims to identify immediate, short-term, and longer-term measures to support the integration of large loads with the BPS and mitigate any identified risks to reliability. The Level 2 Alert, White paper 2, and draft LLTF Reliability Guideline will provide practical recommendations, such as better data collection and validation. Depending on the outcome of these activities, next steps may include NERC registry criteria updates that help mitigate risk associated with emerging large loads. As discussed at the Commission-led 2025 Reliability Technical Conference,⁴⁷ any updates to registry criteria would be dependent upon whether relevant users, owners, and operators of the BPS could materially impact, either individually or in aggregate, the reliability of the BPS.

Stakeholder engagement is a key component of NERC’s Large Loads Action Plan, consistent with NERC’s participatory culture. As an illustration of stakeholder involvement under the Large Loads Action Plan, each LLTF whitepaper has generated hundreds of comments across industry. Hundreds of industry stakeholders, including large load users of the BPS, have attended NERC’s technical workshops on large loads. Moreover, while the large end-use sector has been open to participants under NERC’s stakeholder process, NERC’s External Affairs team as well as NERC engineering staff have conducted significant efforts to bring large load users into

⁴⁶ This is a Reliability Guideline identifying risk mitigation including improvements to existing planning, and operation processes and interconnection requirements for large loads. Guidance may include recommended improvements to modeling practices, analyses, coordination and data collection efforts, real time monitoring and event analysis. See NERC, *Preliminary DRAFT Reliability Guideline: Risk Mitigation for Emerging Large Loads*, https://www.nerc.com/globalassets/who-we-are/standing-committees/rstc/draft_reliabilityguideline_riskmitigationforemerginglargeloads.pdf.

⁴⁷ FERC, *2025 Commissioner-Led Reliability Technical Conference: Annual Reliability Technical Conference*, Docket No. AD25-8-000, <https://www.ferc.gov/news-events/events/commissioner-led-reliability-technical-conference-05142025>.

stakeholder discussions on large load-related issues over the past two years. NERC will leverage these networks as it examines modifications to its Reliability Standards and registry criteria to accommodate the reliability needs associated with large load. As this has been identified as an urgent issue both by the Secretary and NERC, NERC provides the following example of a timeline for how NERC may address these issues promptly and with the necessary collaboration. As this is an example timeline, it could be subject to change. For instance, should NERC determine the need to develop any new registry criteria, NERC may need additional time to identify entities that may be entirely new to reliability regulations. While not included in the timeline below, NERC continuously informs its Board on these activities and involves stakeholders to help ensure appropriate guidance and perspectives on each step:



Within the above example timeline, stakeholders, including existing and those new to reliability matters, have ample opportunity to participate and directly impact any outcomes,

including changes to registry criteria or Reliability Standards. Specifically, the process for revising the registry criteria within the Rules of Procedure requires a public comment period.⁴⁸ The Board considers input from stakeholders in any action to approve the changes. For Reliability Standards development, including revisions to the NERC Glossary, stakeholders can be involved in drafting the Reliability Standards requirements or joining the Registered Ballot Body to vote on or comment on the draft requirements prior to any Board adoption or Commission approval. Each of these steps in the timeline represents meaningful opportunities for the public to provide direct input on the ways NERC could address risk to the BPS from the integration of large loads.

III. CONCLUSION

In conclusion, NERC requests the Commission consider NERC's comments in any ensuing issuances or actions under this rulemaking proceeding. NERC seeks to reinforce its commitment to identifying and mitigating risks to the BPS so that the grid continues to support the North American economy and innovation. NERC looks forward to reviewing other comments submitted in this docket and to partnering with the Commission, other Federal and State entities, industry stakeholders, large load users, and the public to ensure the reliable operation of the BPS.

Respectfully submitted,

/s/ Marisa Hecht

Marisa Hecht
Senior Counsel
Candice Castaneda
Senior Counsel
North American Electric Reliability
Corporation
1401 H Street NW, Suite 410
Washington, DC 20005
(202) 400-3000
marisa.hecht@nerc.net

⁴⁸ See ROP Section 1400 and NERC's Bylaws Article XI, https://www.nerc.com/globalassets/who-we-are/board-of-trustees/nerc_bylaws_board_effective_december_5_2024.pdf.

candice.castaneda@nerc.net

*Counsel for the North American Electric
Reliability Corporation*

Date: November 21, 2025

CERTIFICATE OF SERVICE

I hereby certify that I have served a copy of the foregoing document upon all parties listed on the official service list compiled by the Secretary in the above-referenced proceeding.

Dated at Washington, D.C. this 21st day of November, 2025.

/s/ Marisa Hecht

Marisa Hecht
*Counsel for North American
Electric Reliability Corporation*